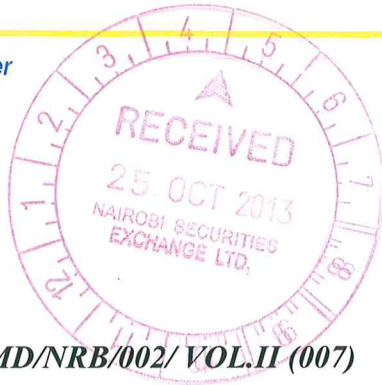




THE EAST AFRICAN PORTLAND CEMENT COMPANY

Holding Life Together



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Ref: EAPCC/MD/NRB/002/ VOL.II (007)

25 October 2013

The Chief Executive
Capital Markets Authority
Embankment House
Upper Hill
NAIROBI

Dear Sir,

RE: EAPCC AUDITED RESULT TO 30 JUNE 2013

Enclosed please receive the announcement of the Audited results to 30 June 2013 together with the statements of consolidated financial position, consolidated comprehensive income, consolidated cash flow and consolidated changes in equity.

The press release will be published in the press media on Tuesday, 29 October 2013.

Kindly acknowledge receipt and notify all brokers accordingly.

Yours faithfully

J.L.G. MAONGA
COMPANY SECRETARY

✓ CC The Chief Executive NSE
Exchange House, Westlands, Nairobi

ANNOUNCEMENT OF AUDITED RESULTS FOR YEAR ENDED 30 JUNE 2013

The Directors of the East African Portland Cement Company Limited met on 25 October 2013 and are pleased to announce the audited results for the year ended 30 June 2013.

Consolidated Statement of Comprehensive Income

for the year ended 30 June 2013

	2013 Sh' 000	2012 Restated* Sh' 000
Revenue	9,211,462	8,508,120
Cost of Sales	(6,878,139)	(7,391,003)
Gross Profit	2,333,323	1,117,117
Other Operating Income	93,376	120,705
Administration and Selling Expenses	(2,085,768)	(2,031,536)
Profit/(Loss) from Operating Activities	340,931	(793,714)
Finance Income	66,000	108,365
Finance Costs	(311,612)	(285,990)
Exchange Gains on Forex Loan	594,113	(61,575)
Fair Value Gain on Investment Property	730,046	-
Profit Before Tax	1,419,478	(1,032,914)
Taxation (Charge)/Credit	355,905	60,199
Profit After Tax	1,775,383	(972,715)
Other Comprehensive Income	713,451	2,958
Total Comprehensive Income	2,488,834	(969,757)
Earnings Per Share	19.73	(10.81)

Consolidated Statement of Financial Position

as at 30 June 2012

	2013 Sh' 000	2012 Restated* Sh' 000
Assets		
<i>Non-current assets</i>		
Property, plant & equipment	8,149,312	7,580,626
Intangible and other non-current assets	51,474	92,183
Investment property	2,225,046	1,495,000
Loan swap asset	2,044,066	2,293,200
Restricted deposits	61,742	59,755
Total non-current assets	12,531,640	11,520,764
<i>Current assets</i>		
Inventories	2,191,123	1,724,887
Trade and other receivables	1,008,320	652,023
Cash and cash equivalents	402,620	79,121
Total current assets	3,602,063	2,456,031
Total assets	16,133,703	13,976,795

Equity and Liabilities

<i>Capital and reserves</i>		
Share capital	450,000	450,000
Share premium	648,000	648,000
Asset revaluation reserve	1,900,899	1,210,284
Retained earnings	4,091,358	2,293,139
Total equity	7,090,257	4,601,423
<i>Non current liabilities</i>		
Staff gratuity	677,904	639,024
Deferred tax liability	750,087	842,274
Loan swap liability	1,895,374	2,219,122
Obligations under Lease	43,155	92,823
Long-term Loan	2,357,448	3,182,951
<i>Current liabilities</i>		
Current of Long-term Loan	324,945	423,900
Trade and other payables	2,994,533	1,975,278
Total liabilities	9,043,446	9,375,372
Total equity and liabilities	16,133,703	13,976,795

Consolidated Statement of Cash Flows

for the year ended 30 June 2013

	2013 Sh' 000	2012 Restated* Sh' 000
Cash flows Generated from Operations	779,757	(58,571)
Interest Paid	(300,986)	(283,480)
Interest Received	7,876	11,449
Tax Paid	(1,086)	(2,184)
Cash Generated From Operating Activities	485,561	(332,786)
Net Cash Used in Investing Activities	(161,971)	(372,674)
Dividend Paid	-	(45,000)
Repayment of Lease obligation	(49,717)	(49,722)
Asset Financing Loan	57,378	283,446
Loan Repayment	(414,840)	(417,424)
Net Cash Used in Financing Activities	(407,179)	(228,700)
Net Increase in Cash and Cash Equivalents	(83,589)	(934,160)
Cash and Cash Equivalents as at the beginning of the year	(368,522)	562,680
Effect of Foreign Currency Translation Reserve	1,508	2,958
Cash and Cash Equivalents as at 30 June	(450,603)	(368,522)

PERFORMANCE

The Company achieved remarkable performance over prior year, recording a net profit of Kshs2.488 billion against a loss of Kshs 969 million in the previous year. Due to sustained marketing campaigns and improved supply of cement to the market, turnover increased by 8% over prior year. The cost of sales reduced by 7% following stringent cost management and rationalization of operational activities thereby increasing gross profit margin from 13% in the previous year to 25% in the current year. The Company benefited from the ongoing strategy implementation. Administrative costs increased marginally by 3% due to inflationary pressure. Operating profit improved by over kshs 1 billion compared to the previous year, amounting to kshs 340 million, against a loss of kshs 794 million in the prior year. The strengthening of the Kenya shilling and the improved performance of the hedge led to foreign exchange gain of kshs 594 million while investment property revaluation recorded a gain of Kshs 730 million. The profit before tax was Kshs 1,419 million against a loss of Kshs1,033 million in the previous year. Other comprehensive income was Kshs 713 million against Ksh 3 million in the previous year, arising from net gain on revaluation of freehold property.

FUTURE OUTLOOK

The cement market remains very competitive with current cement production in the country exceeding cement consumption. As a result, cement prices are expected to remain depressed. However, major infrastructure projects planned by the government may relieve some of this pressure if they come on line during the year. The Company looks forward to continue with its targeted investments and implementation of its strategy while focusing on creating value for its customers and shareholders. Capacity enhancements in clinker and cement production and diversification into new product lines have been given budgetary priority, with implementation of new packing line and precast plant currently ongoing.

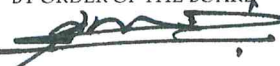
DIVIDEND AND CLOSURE OF REGISTER

Subject to approval by the shareholders at the Annual General Meeting, the directors recommend a first and final dividend of Ksh 0.75 per share, payable on or around 20th January 2014 to those shareholders on the register of members as at the close of business on 17 December 2013. Subject to approval by the shareholders, the register of members will close for one day from close of business on 17 December 2013

ANNUAL GENERAL MEETING

The Annual General meeting will be held on December 17, 2013

BY ORDER OF THE BOARD



JLG MAONGA

SECRETARY

25.10.2013

*Certain figures shown here do not correspond to the 2011-2012 financial statements and reflect prior year adjustments

THE EAST AFRICAN PORTLAND CEMENT COMPANY LIMITED
CONSOLIDATED STATEMENT OF FINANCIAL POSITION
AS AT 30 JUNE 2013

ASSETS	Note	2013 KShs'000	2012 KShs'000 Restated*	2011 KShs'000 Restated*
NON CURRENT ASSETS				
Property, plant and equipment	3	8,015,560	7,463,709	7,657,923
Capital work-in-progress	4	133,752	116,917	217,453
Intangible assets	5	39,977	80,559	1,233
Prepaid operating leases	6	11,497	11,624	11,681
Investment properties	7	2,225,046	1,495,000	1,495,000
Loan swap asset	9	2,044,066	2,293,200	916,925
Restricted deposits	10	<u>61,742</u>	<u>59,755</u>	<u>58,586</u>
		12,531,640	11,520,764	10,358,801
CURRENT ASSETS				
Inventories	11	2,191,123	1,724,887	1,551,254
Trade and other receivables	12	883,028	527,025	877,765
Amount due from related party	13	6,030	5,703	5,703
Tax recoverable	14 (a)	119,262	119,295	86,236
Short term deposits	10	29,558	29,435	348,143
Bank balances and cash	15	<u>373,062</u>	<u>49,686</u>	<u>216,231</u>
		3,602,063	2,456,031	3,085,332
TOTAL ASSETS		<u>16,133,703</u>	<u>13,976,795</u>	<u>13,444,133</u>
EQUITY AND LIABILITIES				
CAPITAL AND RESERVES				
Share capital	16(a)	450,000	450,000	450,000
Share premium	16(b)	648,000	648,000	648,000
Asset revaluation reserve	16(c)	1,900,899	1,210,284	1,242,047
Retained earnings		4,086,892	2,290,181	3,276,133
Foreign currency translation reserve	16(d)	<u>4,466</u>	<u>2,958</u>	<u>-</u>
TOTAL EQUITY		<u>7,090,257</u>	<u>4,601,423</u>	<u>5,616,180</u>
NON CURRENT LIABILITIES				
Staff gratuity	18	677,904	639,024	517,528
Long-term loan	19	2,357,448	3,182,951	3,279,403
Loan swap liability	9	1,895,374	2,219,122	929,580
Obligations under finance leases	20	43,155	92,823	129,665
Deferred tax liability	21	<u>750,087</u>	<u>842,274</u>	<u>871,598</u>
		5,723,968	6,976,194	5,727,774
CURRENT LIABILITIES				
Current portion of long-term loans	19	324,945	423,900	407,522
Obligations under finance leases	20	48,534	48,583	61,462
Bank overdraft	22	853,223	447,643	1,695
Trade and other payables	23	1,944,894	1,354,477	1,515,379
Provisions	24	<u>147,882</u>	<u>124,575</u>	<u>114,121</u>
		3,319,478	2,399,178	2,100,179
TOTAL EQUITY AND LIABILITIES		<u>16,133,703</u>	<u>13,976,795</u>	<u>13,444,133</u>

*Certain figures shown here do not correspond to the 2011 and 2012 financial statements and reflect adjustments made as detailed in note 46.

The financial statements were approved by the Board of Directors on.....2013 and signed on its behalf by:-

.....)
.....) Directors
.....)

THE EAST AFRICAN PORTLAND CEMENT COMPANY LIMITED
CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 30 JUNE 2013

	Note	2013 KShs'000	2012 KShs'000 Restated*
REVENUE	25	9,211,462	8,508,120
COST OF SALES	26	(6,878,139)	(7,391,003)
GROSS PROFIT		2,333,323	1,117,117
Other operating income	27	36,388	120,705
Provisions written back	12	56,988	-
		<u>2,426,699</u>	<u>1,237,822</u>
EXPENSES			
Selling and distribution	28	(422,251)	(458,877)
Administration and establishment	29	(1,450,158)	(1,332,298)
Other operating expenses	30	(213,359)	(240,361)
		<u>(2,085,768)</u>	<u>(2,031,536)</u>
PROFIT/(LOSS) FROM OPERATIONS		340,931	(793,714)
FINANCE INCOME	31	66,000	108,365
FINANCE COSTS	32	(311,612)	(285,990)
EXCHANGE GAIN/(LOSS) ON FOREIGN CURRENCY LOAN	33	594,113	(61,575)
FAIR VALUE GAIN ON INVESTMENT PROPERTY	7	730,046	-
PROFIT/(LOSS) BEFORE TAX	34	1,419,478	(1,032,914)
INCOME TAX CREDIT	14(b)	355,905	60,199
PROFIT/(LOSS) FOR THE YEAR		<u>1,775,383</u>	<u>(972,715)</u>
OTHER COMPREHENSIVE INCOME			
Revaluation surplus		976,780	-
Deferred income tax on revaluation surplus	21	(264,837)	-
		711,943	-
Exchange differences on translation of foreign operation		<u>1,508</u>	<u>2,958</u>
TOTAL COMPREHENSIVE INCOME		<u>2,488,834</u>	<u>(969,757)</u>
EARNINGS/(LOSS) PER SHARE			
Basic and diluted (KShs)	35	<u>19.73</u>	<u>(10.81)</u>

THE EAST AFRICAN PORTLAND CEMENT COMPANY LIMITED
STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 30 JUNE 2013

GROUP

	Share capital KShs'000	Share premium KShs'000	Asset revaluation reserve KShs'000	Retained earnings KShs'000	Foreign currency translation reserve KShs'000	Total KShs'000
At 1 July 2011	450,000	648,000	1,242,047	3,362,871	-	5,702,918
As previously stated	-	-	-	(86,738)	-	(86,738)
Prior year adjustment (Note 46)						
Restated balance	450,000	648,000	1,242,047	3,276,133	-	5,616,180
Transfer of excess depreciation	-	-	(12,079)	12,079	-	-
Surplus realised on disposal of revalued assets	-	-	(19,684)	19,684	-	-
Dividends (2011 dividends paid)	-	-	-	(45,000)	-	(45,000)
Loss for the year	-	-	-	(972,715)	-	(972,715)
Other comprehensive income	-	-	-	-	2,958	2,958
Total comprehensive income	-	-	-	(972,715)	2,958	969,757
At 30 June 2012	450,000	648,000	1,210,284	2,290,181	2,958	4,601,423
At 1 July 2012	450,000	648,000	1,210,284	2,290,181	2,958	4,601,423
Transfer of excess depreciation	-	-	(21,328)	21,328	-	-
Profit for the year	-	-	-	1,775,383	-	1,775,383
Other comprehensive income	-	-	711,943	-	1,508	713,451
Total comprehensive income	-	-	711,943	1,775,383	1,508	2,488,834
At 30 June 2013	450,000	648,000	1,900,899	4,086,892	4,466	7,090,257

THE EAST AFRICAN PORTLAND CEMENT COMPANY LIMITED
CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 30 JUNE 2013

	Note	2013 KShs'000	2012 KShs'000 Restated*
OPERATING ACTIVITIES			
Cash generated from/(used in) operations	37(a)	779,757	(58,571)
Interest paid	37(c)	(300,986)	(283,480)
Interest received	31	7,876	11,449
Income tax paid	14(a)	(1,086)	(2,184)
Net cash generated from/(used in) operating activities		<u>485,561</u>	<u>(332,786)</u>
INVESTING ACTIVITIES			
Purchase of property, plant and equipment	3	(139,089)	(340,563)
Additions to capital work-in-progress	4	(20,895)	(42,006)
Proceeds from sale of equipment		-	11,064
Investment in restricted deposits		<u>(1,987)</u>	<u>(1,169)</u>
Net cash used in investing activities		<u>(161,971)</u>	<u>(372,674)</u>
FINANCING ACTIVITIES			
Dividends paid	17	-	(45,000)
Receipt of asset finance loan		57,378	283,446
Repayment of lease obligation	37(d)	(49,717)	(49,722)
Loan repayment	37(b)	<u>(414,840)</u>	<u>(417,424)</u>
Net cash used in financing activities		<u>(407,179)</u>	<u>(228,700)</u>
DECREASE IN CASH AND CASH EQUIVALENTS		(83,589)	(934,160)
Effect of foreign currency translation reserve		1,508	2,958
CASH AND CASH EQUIVALENTS AT THE BEGINNING OF THE YEAR		<u>(368,522)</u>	<u>562,680</u>
CASH AND CASH EQUIVALENTS AT THE END OF THE YEAR	37(e)	<u>(450,603)</u>	<u>(368,522)</u>